PROBLEMS: SET C

P1-1C On April 1, Barb Massoth established American Travel Agency. The following transactions were completed during the month.

Analyze transactions and compute net income.

(LO 3, 4)



1. Invested $10,000 cash to start the agency.
2. Paid $400 cash for April office rent.
3. Purchased equipment for $2,500 cash.
4. Incurred $300 of advertising costs in the *Chicago Tribune,* on account.
5. Paid $600 cash for office supplies.
6. Recognized $9,500 for services rendered: $3,000 cash is received from customers, and the balance of $6,500 is billed to customers on account.
7. Withdrew $200 cash for personal use.
8. Paid *Chicago Tribune* amount due in transaction (4).
9. Paid employees' salaries $2,200.
10. Received $4,000 in cash from customers who have previously been billed in transaction (6).

Instructions

(a) Prepare a tabular analysis of the transactions using the following column headings: Cash, Accounts Receivable, Supplies, Office Equipment, Accounts Payable, Owner's Capital, Owner's Drawings, Revenues, and Expenses.

(a) Total assets $16,400

(b) From an analysis of the owner's equity column, compute the net income or net loss for April.

(b) Net income $6,600

P1-2C Nancy Grimwood opened a law office, Nancy Grimwood, Attorney at Law, on July 1, 2017. On July 31, the balance sheet showed Cash $4,000, Accounts Receivable $1,500, Supplies $500, Office Equipment $5,000, Accounts Payable $4,200, and Owner's Capital $6,800. During August the following transactions occurred.

Analyze transactions and prepare income statement, owner's equity statement, and balance sheet.

(LO 3, 4, 5)

1. Collected $1,400 of accounts receivable.
2. Paid $2,700 cash on accounts payable.
3. Recognized revenue of $9,000 of which $3,000 is collected in cash and the balance is due in September.
4. Purchased additional equipment for $1,000, paying $400 in cash and the balance on account.
5. Paid salaries $3,000, rent for August $900, and advertising expenses $350.
6. Withdrew $750 in cash for personal use.
7. Received $4,000 from Standard Federal Bank—money borrowed on a note payable.
8. Incurred utility expenses for month on account $550.

Instructions

(a) Prepare a tabular analysis of the August transactions beginning with July 31 balances. The column headings should be as follows: Cash + Accounts Receivable + Supplies + Equipment = Notes Payable + Accounts Payable + Owner's Capital − Owner's Drawings + Revenues − Expenses.

(a) Total assets $16,900

(b) Prepare an income statement for August, an owner's equity statement for August, and a balance sheet at August 31.

(b) Net income $4,200
Total assets $16,900

P1-3C On June 1, Laurie Shaw started Fancy Cosmetics Co., a company that provides individual skin care treatment, by investing $26,200 cash in the business. Following are the assets and liabilities of the company at June 30 and the revenues and expenses for the month of June.

Prepare income statement, owner's equity statement, and balance sheet.

(LO 5)

Cash	$11,000	Notes Payable	$13,000
Accounts Receivable	4,000	Accounts Payable	1,200
Service Revenue	6,000	Supplies Expense	1,600
Supplies	2,000	Gasoline Expense	800
Advertising Expense	500	Utilities Expense	300
Equipment	25,000		

Laurie Shaw made no additional investment in June, but withdrew $1,200 in cash for personal use during the month.

Instructions

(a) Prepare an income statement and owner's equity statement for the month of June and a balance sheet at June 30, 2017.

(a) Net income $2,800
Owner's capital $27,800
Total assets $42,000

(b) Net income $3,500
Owner's capital $28,500

(b) Prepare an income statement and owner's equity statement for June assuming the following data are not included above: (1) $800 of revenue was earned and billed but not collected at June 30, and (2) $100 of gasoline expense was incurred but not paid.

Analyze transactions and prepare financial statements.
(LO 3, 4, 5)

P1-4C Bruce Jenner started his own consulting firm, Jenner Consulting, on May 1, 2017. The following transactions occurred during the month of May.

May 1 Jenner invested $8,000 cash in the business.
2 Paid $800 for office rent for the month.
3 Purchased $500 of supplies on account.
5 Paid $50 to advertise in the *County News*.
9 Received $3,000 cash for services provided.
12 Withdrew $700 cash for personal use.
15 Performed $4,300 of services on account.
17 Paid $3,000 for employee salaries.
20 Paid for the supplies purchased on account on May 3.
23 Received a cash payment of $3,000 for services provided on account on May 15.
26 Borrowed $5,000 from the bank on a note payable.
29 Purchased office equipment for $2,800 on account.
30 Paid $150 for utilities.

Instructions

(a) Ending cash $13,800

(a) Show the effects of the previous transactions on the accounting equation using the following format.

	Assets					Liabilities		Owner's Equity				
Date	Cash	+	Accounts Receivable	+	Supplies	+	Equipment	=	Notes Payable	+	Accounts Payable	+	Owner's Capital	−	Owner's Drawings	+	Revenues	−	Expenses

(b) Net income $3,300
(c) Total assets $18,400

(b) Prepare an income statement for the month of May.
(c) Prepare a balance sheet at May 31, 2017.

Determine financial statement amounts and prepare owner's equity statement.
(LO 4, 5)

P1-5C Financial statement information about four different companies is as follows.

	Harpo Company	Curly Company	Groucho Company	Moe Company
January 1, 2017				
Assets	$ 80,000	$90,000	(g)	$150,000
Liabilities	50,000	(d)	75,000	(j)
Owner's equity	(a)	50,000	49,000	100,000
December 31, 2017				
Assets	(b)	117,000	180,000	(k)
Liabilities	55,000	72,000	(h)	80,000
Owner's equity	40,000	(e)	100,000	145,000
Owner's equity changes in year				
Additional investment	(c)	8,000	10,000	15,000
Drawings	10,000	(f)	12,000	10,000
Total revenues	350,000	400,000	(i)	500,000
Total expenses	335,000	385,000	360,000	(l)

Instructions

(a) Determine the missing amounts. (*Hint:* For example, to solve for (a), Assets − Liabilities = Owner's equity = $30,000.)
(b) Prepare the owner's equity statement for Harpo Company.
(c) Write a memorandum explaining the sequence for preparing financial statements and the interrelationship of the owner's equity statement to the income statement and balance sheet.